11. Income Taxes

Provision (Benefit) for Income Taxes

We operate as a government-sponsored enterprise. We are subject to federal income tax, but we are exempt from state and local income taxes. The following table displays the components of our provision (benefit) for federal income taxes for the years ended December 31, 2009, 2008 and 2007.

	For the Year Ended December 31,		
	2009	2008	2007
	(Dollars in millions)		
Current income tax expense (benefit)(1)	$(999)	$ 403	$ 757
Deferred income tax expense (benefit)(2)	14	13,346	(3,809)
Other, non-current tax benefit	—	—	(39)
Provision (benefit) for federal income taxes	$(985)	$13,749	$(3,091)

(1) Does not reflect the tax impact of extraordinary losses as this amount is recorded in our consolidated statements of operations, net of tax effect. We recorded a tax benefit of $8 million related to extraordinary losses recognized in 2007. We recorded no tax benefit for extraordinary losses recognized in 2008.

(2) Amount excludes the income tax effect of items recognized directly in "Fannie Mae stockholders' equity (deficit)" where we did not establish a valuation allowance.

The following table displays the difference between our effective tax rates and the statutory federal tax rates for the years ended December 31, 2009, 2008 and 2007, respectively.

	For the Year Ended December 31,		
	2009	2008	2007
Statutory corporate tax rate	35.0%	35.0%	35.0%
Tax-exempt interest and dividends-received deductions	0.3	0.5	4.6
Equity investments in affordable housing projects	1.3	2.1	20.1
Other	—	—	0.6
Valuation allowance	(35.2)	(68.2)	—
Effective tax rate	1.4%	(30.6)%	60.3%

Our effective tax rate is the provision (benefit) for federal income taxes, excluding the tax effect of extraordinary items, expressed as a percentage of income or loss before federal income taxes. Our effective tax rates were different from the federal statutory rate of 35% for the years ended December 31, 2009, 2008, and 2007 due partially to the benefits of our holdings of tax-exempt investments, investments in housing projects

eligible for the low-income housing tax credit and other equity investments that provide tax credits. In addition, our effective tax rates for the years ended December 31, 2009 and 2008 were impacted by the increase to and establishment of a valuation allowance for our net deferred tax assets of $25.7 billion and $30.8 billion, respectively. A valuation allowance was not recorded for 2007.

Deferred Tax Assets and Liabilities

The following table displays our deferred tax assets, deferred tax liabilities, and valuation allowance as of December 31, 2009 and 2008.

	As of December 31,	
	2009	2008
	(Dollars in millions)	
Deferred tax assets:[1]		
Allowance for loan losses and basis in acquired property, net	$ 23,615	$ 10,762
Mortgage and mortgage-related assets, including acquired credit-impaired loans	10,547	6,365
Debt and derivative instruments	8,255	8,604
Partnership credits	3,587	2,157
Partnership and other equity investments	2,411	257
Cash fees and other upfront payments	1,532	1,540
Unrealized losses on AFS securities	927	3,926
Net guaranty assets and obligations and related credits	1,113	858
Net operating loss and alternative minimum tax credit carryforwards	688	—
Employee compensation and benefits	206	289
Other, net	810	—
Total deferred tax assets	53,691	34,758
Deferred tax liabilities:		
Other, net	45	7
Total deferred tax liabilities	45	7
Valuation allowance	(52,737)	(30,825)
Net deferred tax assets	$ 909	$ 3,926

(1) Certain prior year amounts have been reclassified to conform to the current period presentation.

We recognize deferred tax assets and liabilities for the future tax consequences related to differences between the financial statement carrying amounts of existing assets and liabilities and their respective tax bases, and for net operating loss and tax credit carryforwards. Our deferred tax assets, net of a valuation allowance, totaled $909 million and $3.9 billion as of December 31, 2009 and 2008, respectively. We evaluate our deferred tax assets for recoverability using a consistent approach which considers the relative impact of both negative and positive evidence, including our historical profitability and projections of future taxable income. We are required to establish a valuation allowance for deferred tax assets and record a charge in our consolidated statements of operations or in "Fannie Mae stockholders' deficit" if we determine, based on available evidence at the time the determination is made, that it is more likely than not that some portion or all of the deferred tax assets will not be realized. In evaluating the need for a valuation allowance, we estimate future taxable income based on management-approved business plans and ongoing tax planning strategies. This process involves significant management judgment about assumptions that are subject to change from period to period

based on changes in tax laws or variances between our projected operating performance, our actual results and other factors.

We are in a cumulative book taxable loss position and have been for more than a three-year period. For purposes of establishing a deferred tax valuation allowance, this cumulative book taxable loss position is considered significant, objective evidence that we may not be able to realize some portion of our deferred tax assets in the

future. Our cumulative book taxable loss position was caused by the negative impact on our results from the weak housing and credit market conditions. These conditions deteriorated dramatically during 2008 and continued in 2009, causing a significant increase in our pre-tax loss, due in part to much higher credit losses, and downward revisions to our projections of future results. Because of the volatile economic conditions, our projections of future credit losses have become more uncertain.

During 2008, we concluded that it was more likely than not that we would not generate sufficient future taxable income in the foreseeable future to realize all of our deferred tax assets. Our conclusion was based on our consideration of the relative weight of the available evidence, including the rapid deterioration of market conditions discussed above, the uncertainty of future market conditions on our results of operations, and significant uncertainty surrounding our future business model as a result of the placement of the company into conservatorship by FHFA. As a result, we recorded a valuation allowance on our net deferred tax asset for the portion of the future tax benefit that more likely than not will not be utilized in the future. We did not, however, establish a valuation allowance for the deferred tax asset amount that is related to unrealized losses recorded through AOCI for certain available-for-sale securities. We believe this deferred tax amount is recoverable because we have the intent and ability to hold these securities until recovery of the unrealized loss amounts. There have been no changes to our conclusion as of December 31, 2009.

As a result of adopting the new accounting standard for assessing other-than-temporary impairments, we recorded a cumulative-effect adjustment at April 1, 2009 of $8.5 billion on a pre-tax basis ($5.6 billion after tax) to reclassify the noncredit portion of previously recognized other-than-temporary impairments from “Accumulated deficit” to “Accumulated other comprehensive loss.” We also reduced the “Accumulated deficit” and valuation allowance by $3.0 billion for the deferred tax asset related to the amounts previously recognized as other-than-temporary impairments in our consolidated statements of operations based upon the assertion of our intent and ability to hold certain AFS securities until recovery.

As of December 31, 2009, we had $3.3 billion of net operating loss carryforwards that expire in 2029, $1.4 billion of capital loss carryforwards that expire in 2013 and 2014, $3.6 billion of partnership tax credit carryforwards that expire in various years through 2029, and $126 million of alternative minimum tax credit carryforwards that have an indefinite carryforward period.

Unrecognized Tax Benefits

We had $911 million, $1.7 billion, and $124 million of unrecognized tax benefits as of December 31, 2009, 2008 and 2007, respectively. Of these amounts, we had $29 million as of December 31, 2009 and $8 million as of both December 31, 2008 and 2007, which, if resolved favorably, would reduce our effective tax rate in future periods. As of December 31, 2009 and 2008, we had accrued interest payable related to unrecognized tax benefits of $41 million and $251 million, respectively, and did not recognize any tax penalty payable. For the years ended December 31, 2009, 2008 and 2007, we had total interest expense related to unrecognized tax benefits of $32 million, $223 million and $7 million, respectively, and did not have any tax expense related to tax penalties.

During 2009, we reached an agreement of $1.2 billion, net of tax credits, with the IRS on the audits of our 2005 and 2006 federal income tax returns. The decrease in our unrecognized tax benefits during the year ended December 31, 2009 is due to our settlement reached with the IRS regarding certain tax positions related

to fair market value losses and the settlement of tax years 2005 through 2006. The decrease in our unrecognized tax benefits represents a temporary difference, and therefore does not result in a change to our effective tax rate. During the first quarter of 2010, we and the IRS appeals division also reached an agreement for all issues related to the tax years 1999 through 2004. As a result of this conclusion, it is reasonably possible that a $99 million reduction in our gross balance of unrecognized tax benefits may occur within the next 12 months for the tax years 1999 through 2004. The IRS is currently examining our federal income tax returns for the tax years 2007 and 2008.

The following table displays the changes in our unrecognized tax benefits for the years ended December 31, 2009, 2008 and 2007, respectively.

	For the Year Ended December 31,		
	2009	2008	2007
	(Dollars in millions)		
Unrecognized tax benefits as of January 1	$ 1,745	$ 124	$163
Gross increases—tax positions in prior years	38	49	—
Gross decreases—tax positions in prior years	(1)	(6)	(48)
Gross increases—tax positions in current year	761	—	9
Settlements	(1,632)	1,578	—
Unrecognized tax benefits as of December 31[1]	$ 911	$1,745	$124

(1) Amounts exclude tax credits of $716 million, $456 million and $50 million as of December 31, 2009, 2008 and 2007, respectively.